

Buy Yourself A F*^king Latte

IT'S THE CLICHÉ that refuses to die: Personal finance nag Suze Orman warned investors that if they “waste money on coffee, it's like ‘peeing \$1 million down the drain.’”⁴⁴⁴

I disagree. If the difference between success and failure is *the cost of a cup of coffee*, you have much bigger financial problems. A daily \$5 latte does not amount to much in the grand scheme of life.

Mind you, I am aware society can be too materialistic.⁴⁴⁵ But we need to be honest about the actual challenges facing us; the latte bullshit is a distraction from genuine financial issues in society.⁴⁴⁶

Here is what really gets me annoyed: Orman tells her audience that “Your Daily Coffee Habit Is Costing You \$1 Million,” with this calculation:

Let's say you spend around \$100 on coffee each month. If you were to put that \$100 into a Roth IRA instead, after 40 years the money would have grown to around \$1 million with a 12% rate of return.

Nope. This calculation is nonsense, and worse, it is intellectually dishonest. The actual real numbers are almost 75% less.

Let's consider five reasons why you should occasionally treat yourself to that cup of Joe.

1. The numbers don't add up

So, 12% annual returns for 40 years? That's 50% better than what the markets give you. I *literally* have \$5 billion for anyone who can get my clients fat 12% returns annually for the next 40 years.

Historically, equities return 8% annually (with dividends reinvested) over the long term. Maybe less when valuations are higher (like they have been lately).⁴⁴⁷ If you invested \$100 per month for 40 years (that's \$48,000), the compounded returns would be somewhere between \$300,000 to 350,000.⁴⁴⁸